



August 18, 2025

**SUBMISSION VIA USTR PORTAL**

Mr. Philip Butler and Ms. Megan Grimball  
Chairs, Section 301 Committee  
Office of the United States Trade Representative  
600 17th Street, N.W.  
Washington, D.C. 20508

Re: **Request to Testify at Public Hearing, Initiation of Section 301 Investigation of Brazil (Docket No. USTR-2025-0044)**

Dear Mr. Butler and Ms. Grimball:

On behalf of the American Sugarbeet Growers Association ("ASGA") and the U.S. Beet Sugar Association ("USBSA"), we hereby submit this request for Mr. Neil Rockstad, President of the ASGA, to appear at the September 3, 2025, public hearing for the ***Section 301 Investigation of Acts, Policies, and Practices of Brazil Related to Digital Trade and Electronic Payment Services; Unfair, Preferential Tariffs; Anti-Corruption Enforcement; Intellectual Property Protection; Ethanol Market Access; and Illegal Deforestation*** (Docket No. USTR-2025-0043). Mr. Rockstad will be presenting the views of the U.S. beet sugar industry. A summary of Mr. Rockstad's testimony is attached to this letter. ASGA and USBSA are also submitting separate written comments in response to USTR's request in Docket No. USTR-2025-0043.

We appreciate your consideration of this request to testify at the September 3, 2025 public hearing and look forward to discussing our views with the Section 301 Committee.



Please let us know should you have any questions.

Respectfully submitted,

A handwritten signature in blue ink that reads "Neil Rockstad".

Neil Rockstad  
President  
American Sugarbeet Growers Association  
1155 15<sup>th</sup> Street NW  
Suite 1100  
Washington, D.C. 20005

A handwritten signature in brown ink that reads "Cassie Bladow".

Cassie Bladow  
President  
U.S. Beet Sugar Association  
50 F Street NW  
Suite 675  
Washington, D.C. 20001



**Summary of the Testimony of Mr. Neil Rockstad, President of the American Sugarbeet Growers Association ("ASGA"), on behalf of ASGA and the U.S. Beet Sugar Association ("USBSA")**

The sugarbeet industry contributes \$13.4 billion annually to the U.S. economy. The member associations of the ASGA represent 10,000 family farmers in all 12 producing states (California, Colorado, Idaho, Michigan, Minnesota, Montana, Nebraska, North Dakota, South Dakota, Oregon, Washington, Wyoming). USBSA is comprised of the eight manufacturers of beet sugar in the United States, which operate 20 factories that process refined sugar from sugarbeets. The U.S. beet sugar processing industry is a 100 percent farmer-owned cooperative in structure, and every factory operates with organized union workers. The beet sugar industry is a critically important supplier to many of the nation's food manufacturers and essential to our nation's food security. There is no difference between beet and cane sugar.

The beet sugar industry welcomes USTR's initiation of this investigation under Section 301. Brazil's unfair and discriminatory policies have adversely impacted U.S. sugarbeet growers and their factories in numerous ways. Brazil is the world's largest producer of sugar and it is expected to produce over 44.7million metric tons of raw sugar in current marketing year. Brazil's exports represent approximately half of all raw sugar traded globally and has dumped sugar well below the world average cost of production. As the second-largest recipient of U.S. sugar TRQ allocations, and having supplied over 1 million metric tons of sugar supplies in recent years, imports from Brazil of raw, refined, and minimally processed sugars directly impact the well-being of the U.S. beet sugar industry.

Aside from generous agricultural subsidies promoting the sugarcane sector, the Brazilian government has pursued other economic and trade policies designed to boost the global competitiveness of Brazil sugarcane growers and processors, including environmentally unsound land policies that have worsened deforestation; protective tariff measures; and other unfair practices that threaten the economic health and vitality of American sugarbeet farms and refineries. If allowed to persist, unfair trade practices and inadequate regulatory enforcement in Brazil will continue to undermine the U.S. beet sugar industry, which has been forced to close 11 factories since 2000. The most recent closure occurred just last month, resulting in the loss of 400 jobs. Strong trade enforcement is essential to counteract the further negative impacts on employment jobs and the deterioration of our American farming and sugar processing operations.



Sugarcane production in Brazil has experienced significant annual growth in recent years, but only 8 percent that increase stems from improved yields. The other 92 percent of increased sugarcane production in Brazil is from land expansion, 19 percent of which is attributable to deforestation. The expansion of sugarcane cultivation to land outside the forests has also caused migration of cattle ranching and soybean farming into the Amazon Basin. The government's decision to re-open the Amazon to sugarcane cultivation in 2019 has only put additional pressures on Brazil's tropical forests.

The Government of Brazil has also adopted numerous measures to grow the ethanol sector, which depends on domestic sugarcane as a main input into production. Measures such as the reinstatement of the 18 percent tariff on ethanol imports encourage increased ethanol production, thereby stimulating demand for domestic sugar. Any investigation of Brazil's unfair supports and trade practices that ultimately lead to low-cost sugar being dumped on the world market, artificially depressing world sugar prices, should also include an inquiry into Brazil's support of its ethanol industry.

Other Brazilian government policies have distorted the market and lowered costs for Brazilian sugarcane growers to the detriment of U.S. beet sugar producers. According to the U.S. Department of Agriculture, since 2015, the extended depreciation of the Brazilian *real* vis-à-vis the U.S. dollar has "sharpened the competitiveness of Brazilian agricultural exports in global markets." Along with other sectorial support policies and programs, the depreciation has contributed significantly to Brazil's rise to dominance in agriculture.

Import schemes have used cheap Brazilian sugar and customs classification loopholes to evade the U.S. TRQ on raw sugar originating in Brazil. Dumped Brazilian sugar is sold to third countries, where it is processed and sent to the United States as molasses and certain sugar syrups, which are exempt from the TRQ volumes or paying the Tier 2 tariff. Due to minimal processing, the products remain Brazilian origin under U.S. country of origin rules. The beet sugar industry estimates that the U.S. Government could collect another \$178 to \$189 million in increased duties by stopping the improper classification of molasses, and an additional \$8 million in tariff revenue as a result of the correct classification of certain sugar syrups.

The U.S. Tier 2 tariff, designed to ensure that out-of-quota sugar imports would not cause disruption to the U.S. sugar program, is rendered ineffective in the face of cheap, abundant, and unfairly traded Brazilian sugar. This investigation must ensure



that the United States takes action to put an end to these unfair and detrimental trade practices that threaten American farmers and taxpayers.

We urge USTR to find that Brazil has adopted and pursued unfair, discriminatory, and unreasonable practices that have burdened and restricted the U.S. beet sugar sector. We stand ready to engage with Ambassador Greer and his staff to fashion effective remedies to address Brazil's unfair advantages in selling sugar to the United States, including increases on out-of-quota sugar tariffs, limitations on out-of-quota access, and closure of classification loopholes.